NEW MEXICO ASSOCIATION OF REALTORS® - 2025
INFORMATION SHEET – TIME OFF MARKET

This form is NOT a disclosure and does NOT provide property-specific information. The general information contained herein is not an exhaustive analysis of the subject matter. Brokers are not experts in the subject matter. If you have additional questions or concerns, you are encouraged to conduct further research and to contact a subject-matter expert.

1. **WHAT IS A TIME-OFF-MARKET (TOM) FEE?**
   Once the parties are under contract, it is a fee that the Buyer pays directly to the Seller as compensation for the Seller taking the Property "Off the Market", which means that Seller will not accept any other offer on the property except a Back-Off Offer until such time as the Purchase Agreement is terminated
   NOTE: The Purchase Agreement may be mutually terminated by the parties, terminate automatically per terms of the Purchase Agreement, terminate because a contingency has not been satisfied or terminate due to default by one or both parties.
   NOTE: If Buyers have a Buyer's Sale Contingency AND NMAR Form 2503 – Buyer's Sale Contingency Addendum is being used, Seller is permitted to continue marketing the Property; the Property will NOT be taken "Off-the-Market" until Buyer has delivered notice to Seller that Buyer's Property has gone under contract.

2. **IS THE TOM FEE REQUIRED?**
   No, it is optional. The parties may proceed with the Purchase Agreement without a TOM Fee.

3. **IS THE PROPERTY "OFF THE MARKET", IF BUYER DOES *NOT* PAY A TOM FEE?**
   Yes, unless otherwise agreed to in writing, the Seller must take the property Off the Market as of the Date of Acceptance ***EVEN IF NO*** TOM Fee is being paid to the Seller.

4. **IS THE TOM FEE CREDITED TOWARDS PURCHASE PRICE/CLOSING COSTS AT CLOSING?**
   No, unless otherwise agreed to in writing. The TOM Fee is a separate fee, unlike Earnest Money, that is earned by the Seller when they agrees to take the Property Off the Market. It will NOT be refunded or credited at closing and it will NOT be refunded if the transaction does not close. **NOTE:** if the parties amend the Purchase Agreement to allow for a credit of the TOM Fee at closing, and Buyer is obtaining a loan, the lender will trace the source of the TOM Fee funds.

5. **IF SELLER MUST TAKE THE PROPERTY "OFF THE MARKET" EVEN IF BUYER DOES *NOT* PAY A TOM FEE, *WHY* WOULD A BUYER OFFER TO PAY A TOM FEE?**
   To understand how the TOM Fee benefits BOTH parties, the parties must first understand the Earnest Money process.
   Deposit and Release of Earnest Money (EM). Generally, when the parties go "under contract," the Buyer pays some initial "good faith" money called EM. The EM is generally held by the Title Company. If the parties close the transaction, the EM is credited towards the Purchase Price or Buyer's down payment/closing costs. If the Buyer defaults on the Purchase Agreement, the EM ***should*** go to the Seller to compensate the Seller for damages suffered. In most cases, if the Buyer timely terminates the Purchase Agreement based on one of the contingencies (inspections, financing, appraisal, etc.), the Buyer ***should*** get his/her EM back. The Purchase Agreement is clear on this and the distribution of EM in other situations.

ATTENTION BUYER AND SELLER

HOWEVER, NO MATTER THE CLEAR LANGUAGE IN THE PURCHASE AGREEMENT, SOMETIMES ONE OR BOTH PARTIES REFUSE TO SIGN AN EM DISTRIBUTION AGREEMENT AND TITLE COMPANIES WILL *NOT* RELEASE EM TO EITHER PARTY WITHOUT AN EM DISTRIBUTION AGREEMENT SIGNED BY *BOTH PARTIES*. *NOTE:* THE BROKERS CANNOT COMPEL THE TITLE COMPANIES TO RELEASE THE EM.

  BUYER(S) OR SELLER(S) ____________

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6. **Resolving Earnest Money Disputes.** When one or both parties refuse to sign an EM Distribution Agreement *(and this does happen with regularity)*, and the brokers involved cannot resolve the issue, generally, the following occurs:

   Step #1 – An Ombudsman Is Engaged. The Ombudsman Program is a free-of-charge informal process wherein an "ombudsman" functions as an intermediary, communicating the concerns of one party to the other over the phone, in an attempt to resolve the issue.

   Step #2 – A Parties Engage in Formal Mediation. If the ombudsman process fails, the parties are expected, per the Purchase Agreement, to engage in formal mediation. This is a process wherein the parties meet in-person with a mediator, who works with the parties to resolve the issue. Per the Purchase Agreement, mediation costs are split 50/50; mediation will cost the parties a ***minimum*** of $150.00-each.

   Step #3 - Litigation. If mediation fails, one party refuses to mediate or the parties cannot agree on a mediator, then the next step is litigation. One party will have to initiate a lawsuit against the other. A judge or jury will decide who gets the EM. Per the Purchase Agreement, the losing party in this litigation will be required to pay the prevailing party's attorney fees and costs. After the time frame for appeal has passed. the prevailing party would present the judgment to the title company, and generally, the title company would release the EM to that party.

7. **Interpleaders.** Title companies are permitted by law to file a cause of action called an Interpleader, by which, the title company initiates an action with the court, names the Buyer and Seller as defendants in that action and deposits the EM with the court. The Buyer and Seller are then forced to cross claim against (sue) each other. The party who "loses" in that claim will have to pay the prevailing party's attorney fees and costs (per the Purchase Agreement), as well as the title company's attorney fees and costs (per NM law). Title companies rarely file interpleader actions because of the time and cost involved.

8. **EM as Unclaimed Property.** In the event that the parties never come to an agreement and never seek a judgment from the court, and assuming no Interpleader action is filed, the EM will remain at the title company. Eventually, the title company will send the EM to the state as "unclaimed property".

9. **THIS LEADS US TO THE BENEFIT OF THE TOM FEE TO BOTH PARTIES.**

   NOTE: Earnest Money is not required to form a contract. The parties may agree to postpone or forego the deposit of Earnest Money.

   The most COMMON reason that a Purchase Agreement terminates is because a Buyer learns something about the Property during the due diligence period – something revealed by documents provided by the Seller or through Buyer's inspections or own observations of the Property. **Recall, that when a Buyer timely terminates due to inspections or the parties cannot resolve Buyer's objections to inspections, per the Purchase Agreement, *THE EARNEST MONEY IS RETURNED TO THE BUYER*.** For these reasons, the option of the TOM Fee was created to avoid deposit of Earnest Money until ***AFTER*** the Inspection Period.

   Through the Inspection Deadline, Buyer can terminate the Purchase Agreement or make objections and ask the Seller to cure those objections.

   A. **TERMINATION.** If Buyer terminates before the Objection Deadline, then no EM is ever deposited.

   B. **NO OBJECTIONS.** If Buyer has NO objections to the TOM Fee Inspections and wants to move forward with the transaction, the EM will then be deposited within so many days (as provided in the Purchase Agreement) after the Objection Deadline.

   C. **OBJECTIONS.** If Buyer has objections to inspections, and the parties resolve those objections, then the EM will be deposited so many days (as provided in the Purchase Agreement) after the Resolution Deadline. **If the parties CANNOT resolve the Buyer's objections by the Resolution Deadline, then the Purchase Agreement will terminate, and *NO* EM will ever be deposited.**

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In short, if the transaction terminates on or before the Inspection Deadline or because the parties cannot resolve the Buyer's objections, there will be NO need for the parties to sign an EM Distribution Form for the title company, because *NO* EM will have been deposited.

10. TYPICALLY, HOW MUCH DOES A BUYER PAY/SELLER RECEIVE AS A TOM FEE?
The amount is completely negotiable and will depend on such factors as the real estate sales market in that area, the amount of interest in/desirability of the Property, the amount of time the Buyer is requesting for inspections, etc.

11. TOM Fee Considerations:
Buyers: When considering whether to *offer* the Seller a TOM Fee, recall that Sellers are ***giving*** something for this TOM Fee. They are taking the Property Off the Market - and this **HAS** value.

Sellers: In considering the *sufficiency* of the TOM Fee, take into account the following:
A. Insisting on a high-dollar TOM Fee, may discourage otherwise interested buyers.
B. If the TOM Fee is bypassed and instead, EM is delivered early in the process (as it has generally been done) and IF the Buyer timely terminates based on inspections, **Seller is NOT entitled to retain ANY of the EM.** In other words, any amount of TOM Fee paid by the Buyer is more than the Seller would normally receive if only EM was being delivered during this Inspection period; and
C. If the Buyer is obtaining a loan to purchase the Property, an excessive TOM Fee could create issues with the Buyer's loan. What amount may trigger further inquiry from a Buyer's lender is unclear, but the higher the amount, the more likely the impact.

12. HOW IS THE TOM FEE PAID? In the Purchase Agreement, the parties will agree to the form of payment for the TOM Fee. There are several options for *delivery* of the TOM Fee:
A. Buyer may deliver the TOM Fee to his/her Broker who will deliver it to the Listing Broker/Brokerage or Seller.
B. Buyer may deliver the TOM Fee directly to the Listing Broker/Brokerage; Buyer should obtain a receipt of delivery; or
C. Buyer may deliver the TOM Fee directly to the Seller via mail or electronically (if electronic delivery directly to Seller has been agreed to by the parties in the Purchase Agreement).

NOTE: Per the Purchase Agreement, Buyer has satisfied the delivery requirements for the TOM Fee when Buyer or Buyer's Broker delivers the TOM Fee to the *Listing Broker or Brokerage*.

NOTE: If TOM Fee payment is returned for "insufficient funds", Buyer is in default of the Purchase Agreement.

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